

pay-in obligation to the stock exchange. The BSE had to be closed for three days as the exchange officials sorted out the mess caused by the defaulting brokers. Sachdeva was raided by the taxmen, and soon after, arrested by the CBI. FIRs were filed against two officials of SBI Caps, the merchant banker to the issue and three senior SEBI officials. The government was keen to send out the message that promoters could not take the investing community for granted.

There was some good news for BSE brokers in July that year when SEBI revived badla trading, although the system was revised and was applicable only to A Group stocks on the BSE. The banning of badla had impacted trading volumes on the BSE, though the frenzy in the primary market had compensated for it to a large extent. In 1995-96, industrial output grew a record 11.7 per cent and GDP by 7.1 per cent. The seeds of reform sown in 1991 were beginning to reap a rich harvest and, as it always happens during good times, investors expected the run to continue forever.

But the primary market was slowly beginning to lose steam even as the economy appeared to be in good health.